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LHV Group in 2025:

Foreword and Key Results

1.1 LHV at a Glance

Group overview

Vision and mission

According to our vision, people and enterprises have the courage to think big and start things, setting ambitious goals and investing in the future.

Our mission is to enhance access to financial services and capital, empowering individuals and businesses to achieve their goals.

AS LHV Group (also the Group, LHV Group or LHV) is the largest domestically owned finance group and capital provider in Estonia.

LHV was established in 1999 by people with extensive experience in investing and entrepreneurship. LHV became public in 2016 and its ambition is to become a strong, technologically advanced and well-governed financial group – capable of delivering scalable and sustainable growth while maintaining trust with clients, investors and supervisors.

The main subsidiaries of AS LHV Group are AS LHV Pank (LHV Pank), LHV Bank Ltd (LHV Bank), AS LHV Varahaldus (LHV Varahaldus), AS LHV Kindlustus (LHV Kindlustus) and AS LHV Paytech (LHV Paytech).

LHV’s customer service offices in Estonia are in Tallinn, Tartu and Pärnu. LHV expanded into UK market in 2018. There are three offices in the UK: London, Leeds and Manchester.

With over 1,200 people (incl. inactive and part-time staff), LHV serves a customer base exceeding 694 thousand.

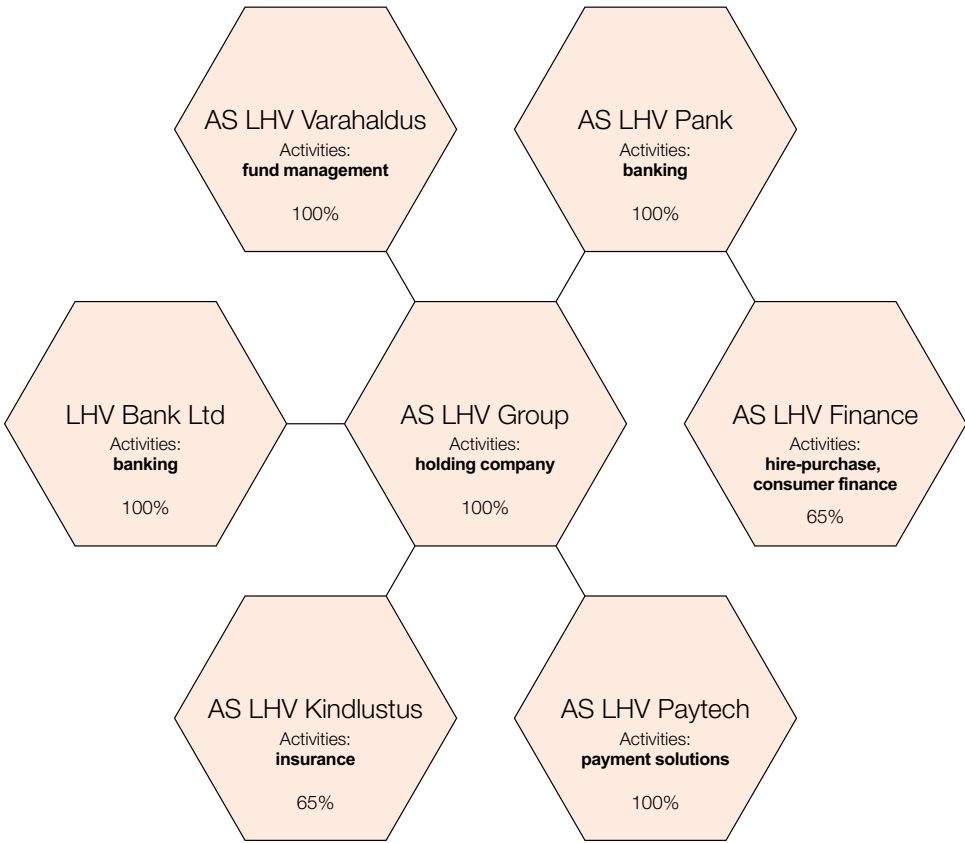
Operating principles

LHV concentrates on active and independent customers with an entrepreneurial mindset. Our service range is diverse. For private customers, we have high-quality universal banking services. For corporate customers, we have flexible and

customised financing solutions as well as assistance in daily financial operations.

The products and services provided by LHV are simple, transparent and practical. We interact with our customers mainly through modern electronic communication channels. This helps us save on costs and keep the prices of our everyday services affordable.

LHV was created as a partnership, and the concept of partnership is central to growing LHV’s business. New initiatives will be implemented faster and more successfully if partners share the same interests and support each other in the long term.



LHV is a public company listed on the Tallinn Stock Exchange since May 2016. Thus, all our customers and partners have an opportunity to become LHV’s owners.

Main risks

- The biggest risk for LHV as a traditional banking group is credit risk, which accounts for 87.2% of our total risk weighted assets (RWA). Credit risk arises mainly from loan operations. For example, this includes risks from non-performing loans.
- The second biggest risk for LHV is liquidity risk. There is always a large mismatch in assets and liabilities duration in banking. LHV banking services for financial intermediaries’ business model contains volatile deposit base and therefore LHV keeps a very high liquidity profile. For example, the mismatches can arise when customer deposits are withdrawn unexpectedly.
- The third biggest risk for LHV is operational risk, which accounts for 9.3% of total RWA. Operational risk is the risk of loss arising from inadequate or failed internal processes, people and information systems, or from external events.
- Market risk accounts for 3.2% of the Group’s total RWA. Market risk arises from LHV’s positions which are exposed to changes in interest rates, foreign exchange rates and securities prices.

1.2 Letter from the CEO

Dear reader,

The year 2025 told two different stories. On one hand, we saw significant growth in our business, welcoming more customers and expanding our loan portfolio. On the other, we faced economic headwinds that meant for the first time in years, we did not meet our financial targets, with profitability falling 6.5% short.

While we are disappointed in this result, it's important to understand the context. A decline in interest rates, combined with intense competition, squeezed our interest income. Despite this, our core business proved its resilience. We grew where it counts – in customers and in volume – demonstrating the enduring trust you place in LHV.

Operationally, the regulatory landscape continues to grow more complex. We managed a staggering 1,200 reports to regulators in 2025 alone. We are actively managing this challenge by investing in smarter, more efficient systems.

Performance Across Our Pillars

- LHV Pank remains the cornerstone of our Group. Despite a tough interest rate environment, the bank grew its customer base, deposits, and loan portfolio, maintaining its strong market position in Estonia.
- LHV Bank had a landmark year in the UK, launching retail banking services – a major step in our growth strategy. The expansion of our SME loan portfolio and deposit base has built a strong foundation for the future.
- LHV Varahaldus, our asset management arm, delivered an excellent performance. Our actively managed pension funds beat their benchmarks, earning a EUR 2.1 million success fee and delivering stable returns for our clients.
- LHV Kindlustus, our insurance business, achieved profitable growth in a shrinking market, proving our commitment to offering the best service in Estonia.
- LHV Paytech continued to power our payment infrastructure, serving both LHV Pank and the wider market with innovative solutions.

Looking Forward

While 2025 presented challenges, it also sharpened our focus on what we must do to stay on track. We met our business volume targets, our customer base expanded, and our strategic investments in the UK and in technology have created a solid foundation for future growth.

The pressure on our interest income was significant, but it does not change our long-term vision. Our financial plan is clear: we are building a stronger, more scalable foundation and driving operational efficiency to enhance shareholder returns. Our goal is to achieve steady income growth and more than double our net profit by 2030.

We are a growing and resilient organization. Our success is built on the dedication of our 1,150+ employees, the trust of our hundreds of thousands of customers, and the confidence of you, our shareholders. Thank you for being part of our journey. We will continue to build on our strong foundation and pursue our mission to provide better access to financial services and capital.



Mihkel Torim
Chairman of the Management Board of AS LHV Group

1.3 Overview:

Key Figures of 2025

2025 in actions

The year 2025 marked a financially difficult year for the Group, it's the first time in years, when LHV Group didn't meet financial targets. The business volumes were fulfilled, but profitability targets ended 6.5% below financial plan.

Estonian GDP growth was slightly positive, and the UK economy stabilized. LHV Group achieved significant milestones in customer acquisition and product expansion. The challenges LHV Group faced were related to interest income – the rates lowered, affecting the interest income, but not enough to affect significantly also interest expense. In combination with heavy competition between banks, the net interest income remained smaller than expected.

The amount of bureaucracy is still increasing as it has been over the last years, and the trend continues. This is valid for both, number and details in regular reporting packages, but also to internal documentation, where sizable number of different contingency type plans have been developed and kept updated with target to deliver reports within 24 hours for the whole Group and with 1 cent accuracy. In total, LHV Group has currently 180 unique reports, that are presented to different regulators. Some of the reports are simple containing only handful of numbers, but others are very complicated including enormous amount of data and calculations. Most of the reports are regular. Overall, LHV Group has presented 1,200 reports to regulators in 2025.

LHV Pank

2025 was a year of challenging growth, driven by increased customer activity and growing loan portfolio. The number of customers, deposits, and net income continued to rise. At the same time interest rates have lowered to around 2% area, putting pressure on banks' profitability. From one side loans are yielding lower, but at the same time clients are not moving over to current accounts. LHV Pank remains cornerstone of the Group, maintaining a strong position in Estonia and generating solid profits.

LHV Bank

The year for LHV Bank could be described using two statements: opening retail banking and growth of loan portfolio. The bank's focus in the UK expanded, offering GBP services to financial intermediaries, SME loans, and deposit products both direct and via platforms. 2025 saw enhanced customer onboarding and increased deposit volumes, contributing to robust financial performance. LHV Bank is offering retail banking solutions to private individuals, including accounts, deposits and payments.

LHV Varahaldus

In 2025 the financial markets performed well, surpassing benchmarks, and LHV Varahaldus was able to beat the reference index based on social tax collection also on cumulative terms. This means that LHV Varahaldus was able to earn success fee on Il Pillar pension fund Julge in amount of EUR 2.1 million. Actively managed pension funds delivered stable returns for investors, reinforcing the Group's reputation as a reliable partner for long-term savings and investments.

LHV Kindlustus

2025 was another successful year for LHV Kindlustus. Despite shrinking non-life insurance market LHV Kindlustus proceeded profitable growth. In total company provided 14 different types of insurance products. The focus has been mainly to private customers. The goal is to offer customer best insurance service in Estonia.

LHV Paytech

LHV Paytech advanced its role as a key innovator within the Group, focusing on developing cutting-edge payment solutions. The company offers services to LHV Pank and to external market participants. Its efforts aligned with the Group's strategic goals for innovation and customer-centricity. LHV Paytech services should be looked together with LHV Pank customer offering.

2025 in numbers

- **LHV share price** increased from EUR 3.245 to 3.575, outperforming the peer group in local market, but not in line with global market trend.
- **The number of LHV Pank customers** increased by 36,000 (+8% YoY) and the number of customers actively using LHV Pank for everyday payments increased by 15,800 (+7% YoY). LHV managed to strengthen its market share among private and legal customers, which is supported by the focus on providing a full range of services.
- **Total consolidated assets** reached EUR 10.2 billion (+17% YoY). The increase in the balance sheet volume was driven by growth in deposit base in all customer segments.
- **The loan portfolio** increased by EUR 913 million to EUR 5.5 billion (+20% YoY). Retail loans increased by 21.0% and loans to corporates by 33.3%. The quality of the loan portfolio stayed strong, with some individual customers showing signs of weakening.

- **The volume of deposits** increased to EUR 8.1 billion (+18% YoY), from which EUR 1.6 billion were financial intermediaries' deposits. Regular customers' deposits in LHV Pank increased by EUR 490 million (+11% YoY). The growth came mostly from term deposits supported by higher interest rates. At the same time, we lowered deposits collected by LHV Pank from deposit platforms by 1/3. LHV Bank has increased its collection of deposits from deposit platforms, with an increase of EUR 508 million (+97% YoY).
- **Assets under management** increased by EUR 144 million to EUR 1.70 billion (+9% YoY) mainly due to positive return of the funds.
- **Net profit** was at EUR 117.0 million (-22% YoY), a decrease of EUR 33.3 million.

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Our Operating Environment and Strategy

2.1 Macroeconomic and Market Context

The global macroeconomic environment in 2025 was marked by heightened trade tensions, volatile trading conditions, and rising geopolitical uncertainty. Despite these challenges, global economic activity showed modest improvement. World output is estimated to have grown by 3.3 per cent, while growth in advanced economies moderated to 1.7 per cent. Global trade volumes expanded by an estimated 4.1 per cent in 2025. However, the lagged effects of evolving trade policies are expected to materialise in 2026, resulting in a projected slowdown in trade growth to 2.6 per cent. Global inflation eased during the year but remained above its historical average, at approximately 4.1 per cent.¹

Among the world's largest economies, growth in the United States was projected to moderate to approximately 2.1 per cent in 2025, reflecting elevated policy uncertainty and the lingering effects of trade tariffs. In Asia, China's economy was forecast to expand by around 5.0 per cent, supported by fiscal stimulus measures; however, structural challenges in the real estate sector persisted. India continued to stand out, recording one of the highest growth rates among major economies, real GDP projected to grow above 7 per cent, underpinned by strong domestic demand and sustained investment activity. The euro area was expected to grow by approximately 1.4 per

cent, with Germany—the region's largest economy—registering a modest expansion of about 0.2 per cent as it navigated the effects of trade tensions on its export-oriented industries.²

Global financial markets were volatile in 2025 amid heightened economic and geopolitical uncertainty. Increased uncertainty drove capital inflows into alternative safe-haven assets, most notably precious metals such as gold and silver. Gold delivered a particularly strong performance, generating a return of 64.5 per cent during the year. At the same time, the traditional safe-haven status of U.S. Treasuries showed signs of erosion, while the U.S. dollar continued to weaken. The U.S. Dollar Index declined by 9.4 per cent over the year.

Equity markets experienced a sharp sell-off in April in response to escalating tariff-related tensions. However, strong investment momentum in artificial intelligence helped sustain investor sentiment, with the S&P 500 Index ending the year up 16.4 per cent. European equities also posted solid gains, with the STOXX Europe 600 rising by 16.8 per cent, largely supported by the defence sector. The UK's FTSE 100 recorded a return of 21.5 per cent. Asian equity markets also performed strongly. Japan's Nikkei 225 delivered a return of 26.2 per cent, while China's SSE Composite Index gained 18.4 per cent.

In 2025, the euro area³ economy continued to expand at a moderate pace, with real GDP growth projected at approximately 1.4 per cent. Economic activity remained resilient despite global headwinds, supported by firmer foreign demand and reduced trade policy uncertainty compared with earlier forecasts. Domestic demand—driven by household consumption and business investment—continued to underpin growth, although sectoral performance was uneven. External sectors, particularly exports, were expected to benefit from the recovery in foreign demand, while investment activity faced ongoing competitiveness challenges.

Wage growth moderated to around 4 per cent, reflecting persistent labour cost pressures amid subdued productivity growth. Labour market conditions remained strong, with unemployment close to historically low levels. Employment growth continued to support household spending, although consumer sentiment and savings behaviour pointed to a more cautious outlook.

Inflation eased to approximately 2.1 per cent in 2025, driven by declining headline pressures. Energy price contributions remained subdued, while food inflation moderated. Core inflation, excluding energy and food, also softened, reflecting easing labour cost pressures and the lagged effects of euro appreciation. From a policy perspective, the ECB's Governing Council kept key interest rates unchanged from their June 2025 levels, signalling increased confidence that inflationary pressures were abating and would converge towards target, while reiterating the data-dependent nature of future policy decisions.

Euro-area money markets reflected these dynamics, with interbank borrowing costs trending lower over the year, providing relief to borrowers and aligning with market expectations of future monetary easing. The 6-month Euribor—a key benchmark for mortgages and loan agreements—declined from approximately 2.56 per cent in early January to around 2.11 per cent by December. The most pronounced declines occurred in the first half of the year, as markets priced in potential rate cuts amid moderating inflation and growth. Over the same period, the 3-month and 12-month Euribor rates also eased, indicating a broad-based compression of the yield curve.

In 2025, the UK economy⁴ expanded at a modest pace, with real GDP growth of approximately 1.4 per cent, reflecting a gradual recovery rather than a pronounced upswing.

Economic activity was driven primarily by the services sector, particularly consumer-facing and professional services, while manufacturing remained weak and construction activity was subdued amid elevated financing costs and cautious investment sentiment.

Inflation eased compared with previous years but remained above the Bank of England's target, averaging around 3.5 per cent in 2025. The decline was largely driven by fading energy price pressures, although services inflation and wage-related costs remained elevated. Labour market conditions softened over the year, with unemployment rising to around 5 per cent, vacancies declining, and wage growth moderating. These developments pointed to increasing slack in the labour market, while conditions remained relatively tight by historical standards.

Overall, the UK economy in 2025 was characterised by subdued growth, easing but still elevated inflation, and a gradually cooling labour market, rather than a sharp economic downturn.

The Estonian⁵ economy entered a gradual recovery phase in the second quarter of 2025. Real GDP is estimated to have increased by approximately 0.7 per cent for the year as a whole, driven primarily by a slow recovery in export markets. Price pressures remained elevated, with annual inflation reaching 4.8 per cent, largely reflecting higher food and services prices as well as the impact of several tax changes, including the introduction of a motor vehicle tax and increases in the VAT rate and excise duties. These factors were particularly evident in food prices, which rose by 6.9 per cent in 2025.

Household consumption decreased by 0.6 per cent in the third quarter compared with the same period of the previous year. Gross fixed capital formation also declined on an

¹ Figures based on IMF (2026). World Economic Outlook, January 2026: Global Economy: Steady amid Divergent Forces. Available: <https://www.imf.org/en/publications/weo/issues/2026/01/19/world-economic-outlook-update-january-2026>

² Ibid.

³ Figures based on: European Central Bank (ECB). Eurosystem staff macroeconomic projections for the euro area. December 2025. Available: https://www.ecb.europa.eu/press/projections/html/ecb.projections202512_eurosystemstaff-12ead61977.en.html

⁴ Figures based on Office for National Statistics (ONS).

⁵ Data for Estonia originates from the databases of Statistics Estonia and the Bank of Estonia.

aggregate basis; however, investment continued to grow in key sectors such as real estate and construction, while remaining broadly stable in manufacturing.

Value added across most economic sectors continued to decline during the year, although some of the largest sectors showed signs of improvement. Manufacturing recorded an average increase of around 3 per cent in real value added over the first three quarters of the year. The construction sector experienced an average decline of 2.4 per cent from the first to the third quarter, although signs of recovery emerged in the latter part of the period. Several sectors remained under pressure, including transportation and storage and retail trade, where real value added declined by more than 8 per cent and 4 per cent, respectively, between the first and third quarters.

The loan market remained active throughout 2025, with lending growth accelerating particularly in the second half of the year. The household loan portfolio expanded by approximately 10 per cent year on year by the end of December. Lending to corporates also increased at a robust pace, with the corporate loan portfolio in Estonia growing by around 12 per cent year on year by year-end, corresponding to an average annual growth rate of approximately 12.3 per cent during 2025.

Lending conditions remained broadly stable. The average interest margin on loans to non-financial companies fluctuated within a narrow range of 2.6 to 2.9 per cent over the year, while margins on housing loans remained steady at around 1.5 per cent.

On the funding side, household deposits continued to grow at a strong pace, although the rate of growth moderated over the year, slowing from over 11 per cent year on year in January to approximately 8 per cent by December. In contrast, corporate deposits declined during 2025, with the contraction accelerating to around 2 per cent year on year by the end of the year.

Credit quality remained solid. Overdue loans stayed at low levels throughout 2025, despite a marginal increase of 0.1 percentage points compared with 2024. By year-end, the average market share of household loans overdue by more than 60 days stood at 0.4 per cent, while the corresponding figure for non-financial companies was 0.6 per cent. Overall, these indicators continued to point to a stable credit market.

In 2025, the European insurance sector maintained resilient capitalisation despite the fragile economic environment, with median Solvency Capital Requirement (SCR) ratios holding firm above 214% for both life and non-life businesses⁶.

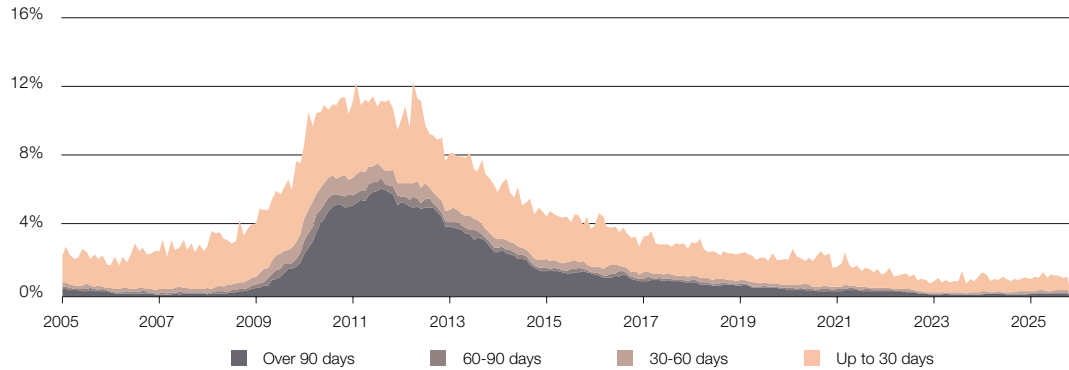
The Estonian non-life insurance market was characterised by intensified competition, which led to a 2% decline in gross written premiums. Price pressure was particularly notable in motor third-party liability and comprehensive motor insurance, reflecting both the entry of new participants and increased consumer price sensitivity. Despite the fall in premiums, the market's claims ratio remained stable at 56%, and most insurers are well-capitalised, supported by strong results from previous periods and backing from international parent companies. As an emerging trend, there is a clear rise in demand for private health insurance, driven by pressures on the public system, while political decisions such as the car tax are also having a noticeable market impact. Due to the combined effect of these factors, overall market growth is projected to stagnate in 2026.

Overall, the Estonian economy has entered a gradual recovery phase but remains vulnerable to developments in the external macroeconomic environment, including geopolitical risks, trade tensions, ongoing competitiveness challenges, and the prolonged Russia–Ukraine war. While exporting companies have experienced a modest increase in demand, domestic demand and investment activity have remained subdued.

According to projections by the Bank of Estonia, economic growth is expected to strengthen, with GDP forecast to

increase by approximately 3.6 per cent in 2026, supported primarily by fiscal stimulus measures and a continued recovery in export markets. Economic projections remain subject to change, however, depending on the evolution of the global macroeconomic environment and external risk factors.

Market average share of overdue loans in loan portfolio, %



Source: Bank of Estonia

Key economic indicators of Estonia*

	2019	2020	2021	2022	2023	2024	Bank of Estonia forecast			
							2025E	2026E	2027E	2028E
Nominal GDP (EUR billion)	28.4	27.8	31.4	36.4	38.2	39.8	41.7	44.6	47.2	49.9
<i>GDP volume**</i>	3.6%	2.5%	7.2%	0.0%	-3.1%	-0.1%	0.7%	3.6%	2.8%	2.5%
<i>Private consumption expenditures***</i>	4.3%	0.8%	7.1%	2.9%	-1.6%	0.2%	-0.2%	3.6%	3.3%	2.2%
<i>Government consumption expenditures</i>	3.3%	3.9%	3.9%	1.5%	0.6%	1.8%	2.2%	3.1%	0.4%	2.0%
<i>Fixed capital formation</i>	6.2%	17.8%	0.3%	-8.3%	8.7%	-6.1%	2.1%	8.0%	3.6%	2.1%
<i>Exports</i>	5.0%	4.1%	22.1%	5.0%	-9.0%	-1.5%	4.4%	2.8%	2.8%	3.2%
<i>Imports</i>	3.7%	0.8%	22.7%	5.0%	-6.6%	0.2%	4.2%	4.6%	2.7%	2.7%
CPI	2.3%	-0.4%	4.7%	19.4%	9.2%	3.5%	4.9%	2.9%	2.4%	2.8%
Unemployment rate (% of the labour force)	4.5%	6.8%	6.2%	5.6%	6.4%	7.6%	7.6%	6.6%	6.2%	6.0%
Current account (% of GDP)	2.0%	2.5%	-3.6%	-3.9%	-1.7%	-1.2%	0.1%	-1.7%	-1.5%	-1.1%
Budget balance (% of GDP)****	-0.1%	5.4%	-2.6%	-1.1%	-2.8%	-1.7%	-1.3%	-4.5%	-4.4%	-3.9%

*The figures reported are annual changes in percentage terms unless otherwise indicated;

**GDP and its components are chain-linked;

***Including NPISH;

****The budget balance forecast considers only those measures on which sufficient information was available at the date of the forecast.

Sources: Bank of Estonia, Statistics Estonia

⁶ European Insurance and Occupational Pensions Authority (2025). Financial Stability Report December 2025. Available: https://www.eiopa.europa.eu/publications/financial-stability-report-december-2025_en

2.2 Our Strategy

Strategy and the future

LHV's home markets remain Estonia and the UK with small appearance in other countries.

LHV aims to capture the strengths from traditional and neobanks world:

We serve customers end-to-end, from accounts to investments and corporate lending.

We do so on a fully licensed, multi-market regulatory foundation that enables trusted, scalable growth.

Our Group's size and operating model provide a strong foundation for execution with speed and scale. We are deliberately strengthening these capabilities to move faster than traditional banks and deliver more complete solutions than neobanks.

LHV Group objectives for 2026-2027

Build digital customer value offering to be the benchmark in banking. Our digital channels are the customer experience. They shape how clients perceive our value, how we scale and how we compete. To be future-ready, we must build top of the class digital offering that scales across markets and delivers intelligent and seamless banking experience.

A new digital offering will enable faster, more personalised, simpler customer interactions and offer high-quality services and products; provide a shared, scalable foundation to build solutions once and scale them across markets; simplify and unify processes while enabling a clearer and more attractive value proposition.

Strengthen and scale LHV's business and organisation for long-term sustainable growth

To build a world-class digital offering, we need a strong, predictable existing core business behind it. A disciplined, efficient organisation gives us the stability, resources and confidence to pursue bold ventures. Every efficiency gained is capacity and capital we can invest in our future. By becoming more aligned, focused and agile as an organisation, we create the speed and clarity needed to win in a fast-moving market.

A strong core business and organisation will enable disciplined execution of the financial plan by improving predictability, efficiency and focus across the organization; provide data, risk and compliance foundations so growth is transparent and well-controlled; increase alignment and clarity across the Group, focusing effort on what creates value and stopping what does not scale.

Our objective is to maximize business growth within our pre-defined risk appetite, maintaining strong capitalisation and achieving a 20% return on equity. This approach underscores that our ambitions prioritize sustainable profitability and risk management. As proponents of modern

technology, we aim to enhance efficiency and customer satisfaction.

We envision LHV as an international financial group that provides top-tier service across all customer segments, from mobile banking to client offices. The group's operations are anchored in five core entities: two banks (in Estonia and the UK), an asset management company, an insurance company, and a payment technology company.

Goals and Strategic Directions

LHV Bank

2026 is shaped by normalization rather than tailwinds. Performance depends on disciplined balance-sheet management, resilient and secure operations, effective fraud prevention and consistent execution across everyday banking, saving and investing services.

Customer behaviour, trust and financial usage. Customer demand remains concentrated around payments, deposits, lending, saving and investing, with usage increasingly shifting to digital channels.

In Estonia, over 95% of banking interactions are digital, and real-time payments are becoming the standard.

At the same time, fraud attempts and scam volumes across Europe continue to rise year-on-year, increasing customer sensitivity to security and trust. As a result, customer choice is increasingly influenced by reliability, fraud protection and clarity of products, alongside access to saving and investment services that support long-term financial planning.

Funding environment, balance sheet and earnings profile. Following the ECB rate cycle peak in 2023–2024, interest rates have normalized, reducing the net interest income tailwind experienced in previous years.

This increases the importance of deposit pricing discipline, funding mix optimisation and liquidity management. In a market where deposits remain the primary funding source, competitive dynamics directly affect margins. A more balanced earnings profile, combining interest income with fee income from services such as payments, saving and investing improves resilience across rate cycles.

Technology, resilience and fraud prevention. Regulatory requirements have materially increased operational expectations.

DORA has applied since 2025, requiring stronger ICT risk management, third-party oversight and incident reporting. In parallel, instant payments regulation mandates near-real-time transaction processing and availability. These developments increase system complexity and cost, while also raising customer expectations for uninterrupted service and effective fraud prevention. Banks that combine real-time monitoring, automation and data-driven fraud controls are better positioned to manage risk and maintain customer trust at scale.

Competition and market structure. The Estonian banking market remains highly concentrated, with limited domestic population growth and mature penetration across core banking products.

Competitive pressure continues to increase in mortgages, SME lending and deposits, while customer switching is increasingly driven by digital experience, pricing transparency, service reliability and perceived security rather than brand alone. Given structural constraints in the local market, long-term growth is increasingly influenced by the ability to scale selected products, platforms or services beyond national boundaries, either through cross-border offerings, partnerships or platform-based distribution. Competitive advantage therefore depends not only on domestic market share, but on execution capabilities that allow scalable growth in a broader regional or international context.

LHV Bank

In the UK, **LHV Bank** focuses on providing banking services for financial intermediaries, SME lending, simple mobile bank for retail customers.

In 2026 main drivers impacting the business in UK are customer behaviour, funding, technology and competition.

Everyday banking needs remain unchanged, but customers expect easier and faster access to savings, investments and crypto within a simple, unified digital experience. Demand is increasing for real-time money movement across accounts, currencies and asset classes, supported by intelligent automation and personalised insights. This shapes our priorities in app development, product design and service delivery.

A likely decline in interest rates will affect funding costs and competitive deposit pricing. Our performance depends on successfully diversifying the funding mix through Bank of England liquidity facilities, securitisation readiness and continued growth in retail and platform deposits. Efficient balance sheet management will be essential as margins tighten.

Technological developments will continue to reshape banking. Alongside modernising our systems and building the unified platform, emerging on-chain solutions, stablecoins and bank-issued digital money have the potential to transform payment and settlement models. AI and agentic finance will further drive automation, improve risk processes and enhance personal financial guidance. Our capability to adopt these technologies will directly support scale and competitiveness.

The competitive landscape is intensifying as large banks and neobanks invest heavily to deliver better digital products, expand lending and improve customer experience. Traditional banks are modernising rapidly while challengers broaden their offerings into savings, investments and credit.

This reinforces LHV's need to differentiate through strong digital experience, API-led services and operational efficiency.

LHV Varahaldus

LHV Varahaldus year could be considered successful if and only if its pension funds and other funds show strong returns.

Considering that we are essentially the only market player with investment portfolios diversified across asset classes, our results differ clearly from that of competition and could either benefit us strongly or hinder us against all other market players.

The quest to replace outdoor sales continues. We lost around 80% of new sales last year and are only halfway there to make up for the difference. Big steps have already been taken, but even bigger leaps have to be completed in coming years. Active sales team is expected to reach a higher level while sales in our own channels will be at least twice as effective with new upgraded tools at our disposal. We do have significant room to grow – less than one third of LHV clients hold their pension assets in LHV.

As more than 95% of AUM is directly linked to II or III pillar funds, whatever new regulatory ideas, both positive and negative, could have a strong impact on business activities. We could see some positive changes happening in 2026, while bearing in mind that in 2027 elections, parties less supportive of pension funds are currently expected to do well. Allowed marketing practices of pension funds are also expected to change during 2026, which would limit at least some market players with their practice of aggressively approaching clients of other market participants.

LHV Kindlustus

Macroeconomic uncertainty and slower economic growth continue to influence customer purchasing behaviour and price sensitivity.

Increased competition, including tariff pressure in specific segments (e.g. vehicle-related pricing), may compress margins and increase loss ratios. At the same time, more volatile customer behaviour requires tighter risk selection, pricing discipline and claims management to protect profitability.

Regulatory expectations continue to rise, with increased focus on data quality, transparency, reporting accuracy and operational resilience.

The implementation of DORA places additional requirements on IT resilience, incident management and third-party risk oversight. These developments increase compliance effort and cost, but also reinforce the need for strong governance, reliable data and well-controlled processes.

Rapid advances in AI and automation create significant opportunities to improve efficiency, reduce manual work and enhance customer experience, particularly in claims handling and customer communication.

However, realising these benefits requires upfront investment in data quality, platform capabilities and change management. The ability to scale automation safely and responsibly will be key differentiator going forward.

3 Group Performance and Financial Overview

3.1 Analysis on Group Financial Results

3.1.1 Activities of business areas

Looking backwards, 2025 was a complicated year for LHV, as we navigated a dynamic environment characterized by stabilized global markets, increased regulatory demands, and intensified competition in the banking sector.

On the one hand, most of the Group entities managed to fulfil their financial targets, only LHV Pank and LHV Group on solo level not able fulfil the profitability plans.

LHV Pank was behind the plans EUR 7.1 million, and Group on solo level by EUR 2.5 million. The Pank results were affected mainly by lower net interest income, when Group wrote off some goodwill related to LHV Paytech. Other entities were slightly better than the plans and delivered in total EUR 2.9 million higher profit. The Group remained under forecasted profit by EUR 8.1 million.

Key achievements included robust loan portfolio growth, increased customer deposits. The year also saw continued improvements in operational efficiency, with streamlined processes and greater reliance on automation. This process has to continue in nearest years as well. Our customer satisfaction level was the highest in the banking sector.

At the same time, the sentiment has changed in the market – interest margins are decreasing, competition on lending side has increased drastically, the economy is improving. During the full year LHV faced with healthy competition for deposits among banks, including heavy competition with targeted offers, as all banks needed to either protect their market share or fund their increasing loan portfolios.

The competition also increased in Banking services side, where customer pricing in many cases is very tough. In very end of the year deposit volumes picked up.

LHV fulfilled all the external and internal regulatory ratios including capital adequacy, MREL and liquidity with decent buffers.

From regulatory side, LHV is regulated by ECB supervision, which compared to national financial supervision has increased the complexity. ECB has kept their regulatory requirements same level and SRB have stated that they will lower their regulatory requirements. SRB will tell their adjustment in February/March 2026, valid from 2027. LHV Group received EUR 0.4 million penalty from ECB regarding the wrongly calculated risk weighted assets regarding investments to UK entity.

Overall, we managed to lend more than initially planned and successfully issue capital related instruments. It was a challenging year in terms of forecasting and delivering results because there were constant changes during the year. On average, the forecasts held in place only for three months, till they became outdated.

Also, the business focus changed. During the last couple of years, assets have been the limiting factor for growth, but this year the liabilities were.

Estonian Corporate banking showed a modest growth in 2025 as the portfolio increased by 7% YoY despite several Scandinavian-owned banks becoming very active in lending. Our market share is around 21% in the corporate loan market.

Our corporate loan portfolio amounted to EUR 2,569 million. The quality of the loan portfolio remained strong, with a very low share of non-performing loans.

In Estonian retail banking, we focused on home loans, raising awareness of investment services, and developing customer-tailored services. Regarding home loans, we focused on process automation and the use of fully automated decision-making. At the year-end, the retail loan portfolio totalled EUR 2,114 million, representing approximately 15% market share.

SME lending in UK picked in 2025, where the portfolio increased 120% to EUR 766 million.

In addition to lending, investment activities have been growing in Estonia.

In financial intermediaries' segment, our primary focus was on deposits and payments. The number of customers remained almost the same, but the customer concentration decreased several times. Our business in the UK is profitable, and the revenue base is growing.

The total volume of investment funds under the management of LHV Varahaldus reached EUR 1.7 billion in 2025, increasing by 9% YoY due to the rising capital markets. The benchmark index, which is dependent on the social tax collection, continued in rapid growth. LHV Varahaldus was able to beat the reference index based on social tax collection also on cumulative terms, which means that LHV Varahaldus was able to earn success fee on II Pillar pension fund Julge in amount of EUR 2.1 million. LHV Varahaldus keeps around 23% market share.

In comparison with 2024, LHV Kindlustus doubled its profit. Insurance portfolio is well balanced in sense of products and sales channels. Also, company has reached a good efficiency level to enable wider risk selection, at the same time ensuring the profitable growth.

Overview of LHV Group's and its subsidiaries' total assets and net income

<i>EUR thousand (2025)</i>	Total assets	The ratio to the LHV Group's total assets %	Net income	The ratio to the LHV Group's net income %
LHV Group	10,232,962	100.00%	304,839	100.00%
LHV Pank	8,776,107	85.76%	228,625	75.00%
LHV Bank	1,431,709	13.99%	55,498	18.21%
LHV Varahaldus	22,962	0.22%	11,227	3.68%
LHV Kindlustus	28,396	0.28%	2,455	0.81%
LHV Paytech	1,793	0.02%	4,377	1.44%

*The figures for all entities, except LHV Group, may include intra-group assets and net income.

Financial results for last 7 years

<i>EUR million</i>	2019	2020	2021	2022	2023	2024	2025
Net interest income	47.3	68.5	97.3	129.1	253.8	273.3	235.1
Net fee income	25.7	33.3	42.6	44.7	48.8	60.3	63.3
Net other income	0.7	1.6	-0.9	-0.6	2.9	4.7	6.5
Net income	73.8	103.4	140.4	173.5	305.5	338.3	304.8
Expenses	39.3	44.0	65.2	89.6	129.4	146.9	159.3
Profit before credit losses	34.6	59.6	75.2	83.9	176.1	191.4	145.5
Impairments	3.2	10.9	3.9	8.1	11.5	16.3	1.5
Tax expense	4.2	8.8	11.0	14.4	23.7	24.8	27.0
Net profit	27.1	39.8	60.3	61.4	140.9	150.3	117.0
<i>net profit attributable to owners of the parent</i>	<i>24.8</i>	<i>38.0</i>	<i>58.3</i>	<i>59.8</i>	<i>139.6</i>	<i>149.0</i>	<i>114.3</i>

Concise overview of financial position for last 7 years

<i>EUR million</i>	31 Dec 2019	31 Dec 2020	31 Dec 2021	31 Dec 2022	31 Dec 2023	31 Dec 2024	31 Dec 2025
Cash, balances with central bank, due from banks, investment companies and credit institutions	1,271	2,394	3,987	2,482	3,119	3,819	4,313
Financial assets	40	330	135	373	340	309	403
Net loans	1,687	2,209	2,677	3,209	3,562	4,552	5,465
Other assets	34	38	46	71	72	56	52
Total assets	3,032	4,971	6,845	6,135	7,093	8,736	10,233
Deposits from customers	2,727	4,120	5,808	4,901	5,731	6,910	8,134
<i>incl. financial intermediates deposits</i>	<i>376</i>	<i>1,054</i>	<i>2,246</i>	<i>1,281</i>	<i>1,123</i>	<i>1,503</i>	<i>1,573</i>
Loan liabilities, incl. subordinated debt	75	579	657	717	691	1,054	1,251
Other liabilities	24	27	55	96	115	93	81
Total liabilities	2,826	4,726	6,520	5,714	6,537	8,057	9,466
Total equity	206	245	325	421	556	679	767

The Group's pre-tax profit for 2025 amounted to EUR 171.6 million and net profit totalled EUR 114.6 million (124% YoY). Net interest income decreased 14% and net fee income increased 5%. The Group's net income was EUR 304.8 million (-10% YoY). Operating expenses amounted to EUR 159.3 million (+8% YoY). Most of the increase in expenses has been related to the increased numbers of employees. The Group did not manage to fulfil all the financial ratios published in the financial plan. Although loan and deposit volumes exceeded planned levels, net income was 2.5% below plan and net profit was 6.5% below plan. ROE was 1.6% below the forecasted level.

The Group's cost to income ratio was a decent 52.3%, especially as there are investments made to building the retail bank in UK. In current environment an excellent cost to income ratio would have been around 35%, easily achieved by LHV Pank. A decrease of the Group's cost to income ratio to that level would increase the net profit by 19%.

By the end of December, the total volume of the Group's net loan portfolio amounted to EUR 5.5 billion (2024: EUR 4.6 billion), an increase of 20%.

The portfolio could be divided to three: Estonian corporate banking loans increased by 7% to EUR 2.6 billion (2024: EUR 2.4 billion). Estonian retail loans increased by similar 17%, amounting to EUR 2.1 billion (2024: EUR 1.8 billion). Third pillar is SME loans in UK, the portfolio increased by 125% and reached EUR 0.8 billion.

The volume of deposits increased by 18% and totalled EUR 8.1 billion by the year-end (2024: EUR 6.9 billion). The share of demand deposits increased to 65% (2024: 64%), as interest rates decreased and made term deposits less attractive to customers. In 2025, LHV Pank reduced deposits collected from deposit platforms and will continue to decrease them. Deposit platforms are used as insurance buffer on the statement of the financial position.

LHV Group as a stand-alone entity earned a net profit of EUR 127.5 million (2024: EUR 81.7 million). The profit was earned mainly from dividends taken from subsidiaries. Without dividend, the company would have made EUR 1.3 million of loss. LHV Group's stand-alone business consists mainly of capital and MREL related transactions.

Regulatory ratios	2019	2020	2021	2022	2023	2024	2025
Common equity Tier 1 %	12.39	13.26	14.27	16.02	17.01	16.89	17.42
regulatory minimum	9.67	8.52	8.52	11.91	12.41	12.41	12.19
Tier 1 %	13.88	15.56	16.08	18.43	19.17	17.96	19.27
regulatory minimum	11.30	10.16	10.16	14.05	14.55	14.55	14.25
CAD %	17.96	20.50	19.97	21.72	21.93	20.68	22.85
regulatory minimum	14.31	13.33	13.33	16.90	17.40	17.40	17.00
MREL %	8.70	6.38	-	-	-	-	-
regulatory minimum	5.79	5.79	-	-	-	-	-
MREL-TREA %	-	-	24.00	29.99	34.16	33.24	35.38
regulatory minimum	-	-	19.08	19.08	19.08	26.30	25.47
MREL-LRE %	-	-	6.90	11.12	12.08	12.41	12.86
regulatory minimum	-	-	5.91	5.91	5.91	5.91	5.91
Leverage ratio %	6.18	4.40	4.32	6.83	6.78	6.71	7.00
regulatory minimum	3.00	3.00	3.00	3.00	3.00	3.00	3.00
LCR %	144.8	147.9	142.7	139.7	194.2	187.5	185.0
regulatory minimum	100.0	100.0	100.0	100.0	100.0	100.0	100.0
NSFR %	152.9	152.6	163.4	144.0	160.2	154.4	156.8
regulatory minimum	100.0	100.0	100.0	100.0	100.0	100.0	100.0
Financial ratios	2019	2020	2021	2022	2023	2024	2025
Return on equity (ROE) %*	14.0	17.3	21.1	16.4	29.0	24.5	16.0
Return on assets (ROA) %	1.2	1.0	1.0	0.9	2.1	1.9	1.2
CFROI %	19.0	26.4	26.4	22.5	36.0	31.0	20.1
Cost to income ratio %	53.2	42.5	46.4	51.7	43.3	43.4	52.3
Net interest margin (NIM) %	2.04	1.73	1.66	2.01	3.88	3.48	2.49
Spread %	1.99	1.70	1.63	1.98	3.75	3.23	2.30
Loan to deposit %	62.5	53.6	46.1	65.5	62.3	65.9	67.2
Price to earnings ratio	13.8	14.8	22.1	17.6	8.0	7.1	7.8
Price to book ratio	1.7	2.4	4.1	2.6	2.0	1.6	1.6
Dividend per share, EUR	0.02	0.02	0.03	0.04	0.04	0.13	0.09

Calculation principles

*Return on equity is calculated based on LHV Group net profit and equity attributable to owners of the parent and does not include non-controlling interests.

capital adequacy levels are calculated as reported in COREP report as at end of each year

MREL = (own funds + qualifying liabilities) / total liabilities * 100

MREL-TREA = (own funds and eligible liabilities) / total risk exposure amount * 100

MREL-LRE = (own funds and eligible liabilities) / leverage ratio exposure measure * 100

LCR, NSFR are calculated as reported in COREP report as of end of each year

return on equity (ROE) = net profit (attributable to owners of the parent) / average equity (attributable to owners of the parent) * 100

return on assets (ROA) = net profit / average assets * 100

CFROI = operating profit / total equity (average)

cost to income ratio = total operating expenses / total net income * 100

net interest margin (NIM) = net interest income / average interest earning assets * 100

spread = yield on interest earning assets – cost of interest-bearing liabilities

loan to deposit = net loans / deposits * 100

price to earnings ratio = share price as at reporting date / net profit for the year attributable to the owners of the parent / number of shares at reporting date

price to book ratio = share price as at reporting date / equity as at reporting date attributable to the owners of the parent / number of shares at reporting date

dividend per share = dividend payment during calendar year / number of shares at moment of payment

3.1.2 Sensitivity analyses

LHV has four major business lines: Estonian banking, UK banking, asset management and insurance. These business lines are very different in their sensitivities to different risk factors.

Estonian banking is clearly procyclical, meaning that its results are directly affected by macroeconomic developments. In general, there are three major components affecting LHV Pank’s results:

- Interest rates
- Credit losses
- Personnel cost

Every 100 bps increase in interest rates will increase LHV net interest income by EUR 12.5 million within the first 12 months. An equivalent interest rate decrease will reduce net interest income by EUR -34.3 million.

Credit losses are dependent on the economic situation. LHV has knowledgeable credit risk management, which does not allow excess risk in any economic sector. The rapid growth hides credit losses as a significant part of the portfolio has not yet matured. For understanding the actual levels of credit losses, LHV calculates the credit risk in addition to its current portfolio also for the 12-month-old portfolio. LHV has had very few defaults in history in corporate loan portfolio and the only real credit losses LHV Pank has incurred have been related to fraud rather than wrong credit decisions.

Personnel cost is the biggest cost base for LHV Pank and equals around 57% of the total costs. LHV has the internal policy to follow the market levels in compensation packages. LHV offers its services mainly through electronic channels. To offer these services effectively LHV has decided to develop systems in-house. As a result, the IT team accounts for around 25% of the total personnel. As the salary levels for IT personnel have been increasing and seem to increase in the nearest future more than for other personnel segments despite the latest changes in market, LHV has forecasted a higher salary growth than its competitors.

UK banking contains two main business lines: lending and servicing financial intermediaries. First one is partially similar to Estonian banking, where credit losses and collateralisation are important. The second is volume business and it is sensitive to macroeconomic developments, but in a way quite different from banking. In general, there are three major components affecting payment intermediaries’ business results:

- Trading activities between countries
- FX rates volatility
- AML risks

The first two are very similar, as most payment intermediaries offer transferring/converting certain currency to another region/currency within a short time frame. The need for such business grows when there are either solid business relationships between countries or when one currency becomes very volatile, and businesses need to hedge their positions quickly. The third area is related to regulations and controlling the AML risk: the financial intermediaries’ business models are moving towards more regulations, but from LHV side, bank doesn’t see the full chain of transfers meaning that partially it has to rely on financial intermediaries’ own activities. LHV does its own controls over transactions and also does on- and off-site inspections to mitigate the risk.

Asset management is almost insensitive to macroeconomic developments. The performance depends on two major items:

- Pension fund management
- Political risk

Pension fund management is key to results. Starting from Q4 2019 the calculation of fund management fees changed to performance bonus principle. LHV has targeted to beat the agreed benchmark over longer period, but not in the coming years. LHV has provided the one of the highest pension funds yields in the long-term period.

Another large risk side of the asset management is political risk. Almost every year during the last 5 years there has been some larger changes in the pension funds management fee calculation or changes in investment limits. LHV has been successful of managing these changes and being able to deliver good result despite of the constant changes in legislation.

Insurance is relatively insensitive to macroeconomic developments as well. It’s more open to fraud, pandemic, weather and strikes risks. The insurance uses reinsurance for reducing the risk to acceptable level. Still the profitability will be hit in case of under or over hedging the risk.

3.1.3 Shares and bonds issued by LHV

LHV has been rapidly growing local universal bank with a clear niche towards financial intermediaries.

Over the last years the business model has widened and includes several other financial activities. All these activities have required capital, partially funded from profits and partially issuing capital related instruments. In 2025, there was no new share capital issued to the public, except for share options to employees. LHV redeemed EUR 50 million of Additional Tier 1 bonds and issued EUR 80 million of new Tier 2 bonds. The issue was successful with a subscription of EUR 50 million.

The profits and investments of LHV are not only reflected in the share price, but also in the distributed dividends, and interest paid on subordinated bonds.

LHV Group has several securities outstanding:

Shares and bonds outstanding as at 31 Dec 2025	ISIN	Issuer	Outstanding amount	Maturity	Listing
Common share	EE3100102203	AS LHV Group	327,856,146	-	Nasdaq Baltic main list
Additional Tier 1 subordinated bond	EE3300002856	AS LHV Group	20,000,000	perpetual	not listed
Additional Tier 1 subordinated bond	XS3042781024	AS LHV Group	50,000,000	perpetual	not listed
Tier 2 subordinated bond	EE3300003573	AS LHV Group	35,000,000	29.09.2033	Nasdaq Baltic bond list
Tier 2 subordinated bond	EE3300004993	AS LHV Group	20,000,000	15.11.2034	Nasdaq Baltic bond list
Tier 2 subordinated bond	XS3153067288	AS LHV Group	80,000,000	16.09.2035	Nasdaq Baltic bond list
Senior unsecured bond	EE3300003250	AS LHV Group	20,000,000	26.05.2027	not listed
Senior unsecured bond	XS2693753704	AS LHV Group	100,000,000	03.10.2027	Euronext Dublin
Senior unsecured bond	XS2822574245	AS LHV Group	300,000,000	24.05.2028	Euronext Dublin
Senior unsecured bond	XS3090105829	AS LHV Group	60,000,000	18.06.2029	Euronext Dublin
Covered bond	XS2721494453	AS LHV Pank	450,000,000	20.11.2026	Euronext Dublin
Covered bond	XS2921553793	AS LHV Pank	250,000,000	17.10.2028	Euronext Dublin

In mid-2022 the share split with 1/10 ratio was carried out, where each shareholder received additional 9 shares for 1 existing share.

LHV Group has very simple share capital structure – there is only one class of shares with nominal value of 0.1 EUR, each share gives 1 voting right.

The shares of LHV Group are traded on NASDAQ Tallinn main list since May 2016.

Shareholder statistics as at 31 Dec 2025	
Number of shareholders	37,938
Number of countries represented	42
Share of Estonian residents	75.89%
Share of Estonian residents including two founders	94.61%
Share of legal entities	66.84%
Share of private individuals	28.02%
Share of institutional investors	2.22%
Share of nominee accounts	2.92%
Share of LHV clients	86.44%

40.92% of shares belonged to the members of the Supervisory Board and Management Board and to their related parties.

Geographical distribution of shareholders as at 31 Dec 2025	
	Percentage
Estonia	74.97%
Switzerland	19.39%
Latvia	2.34%
United States	1.00%
United Kingdom	0.38%
Germany	0.37%
Portugal	0.17%
Lithuania	0.13%
Finland	0.05%
Russian Federation	0.02%
Other	0.04%

Ten largest shareholders as at 31 Dec 2025		
	Number of shares	Percentage
AS LÖHMUS HOLDINGS	37,162,070	11.33%
VIISEMANN INVESTMENTS AG	35,210,370	10.74%
RAIN LÖHMUS	25,449,470	7.76%
OÜ KRENNO	12,446,070	3.80%
AS GENTEEL	11,310,000	3.45%
AMBIENT SOUND INVESTMENTS OÜ	10,519,990	3.21%
SIA KRUGMANS	7,188,990	2.19%
AS ALTAMIRA	7,089,436	2.16%
BONAARES OÜ	6,691,020	2.04%
OSAÜHING MERONA SYSTEMS	6,037,590	1.84%

Starting from 2021, when LHV and one other bank significantly lowered prices for trading Baltic equities, the number of new investors has been growing rapidly. LHV’s investor base has decreased by 0.9 thousand shareholders within a year and fell to 37.8 thousand.

3.2 Overview of the Group's subsidiaries

3.2.1 AS LHV Pank group

LHV Pank remains the largest domestically owned bank in Estonia, consistently delivering strong financial performance and maintaining its position as a leader in customer satisfaction. The bank is dedicated to serving active and independent customers, fostering an entrepreneurial mindset among its clientele.

For private customers, LHV Pank offers comprehensive solutions for daily financial management and home loans, emphasizing the best customer experience and innovative options for growing wealth. For business customers, it provides flexible financing and tailored financial solutions, while financial intermediaries benefit from a robust platform for EUR and GBP transactions.

By prioritizing digital communication channels, LHV Pank ensures modern, efficient, and cost-effective services. These savings are passed on to customers through competitively priced banking services, reinforcing the bank's commitment to accessibility and value.

With almost 20% market share in Estonia's daily banking, deposit, and business loan segments, LHV Pank is now the third-largest bank in the country. The bank's long-term vision is to become Estonia's largest and most profitable financial institution by focusing on efficiency, innovation, and exceptional service delivery.

LHV Pank has offices in Tallinn, Tartu and Pärnu. LHV Pank's consolidated financial statements comprise the accounts of LHV Pank and its 65% ownership subsidiary AS LHV Finance ('LHV Finance'), which specialises in consumer financing.

Business activities

In 2025, LHV Pank achieved significant milestones in customer acquisition, business growth, and operational efficiency despite the continuing competitive and regulatory pressures. A stabilizing macroeconomic environment and higher customer confidence enabled the bank to capitalize on its strengths and deliver exceptional results across all business areas. LHV Pank continued to grow in 2025. The number of customers increased by 36,000 to 492,000, i.e., by 8%. The youth segment grew by 7% to 96,602 customers, fulfilling our target mission in excess. The growth in customer activity and business volumes was broad-based. LHV Pank continued servicing financial intermediaries in euro payments and safeguarding services.

Deposits from customers increased by 11% to EUR 6,964 million. Deposits from regular customers grew by 11% to EUR 5,083 million, while deposits from financial intermediaries increased by 9% to EUR 1,480 million. Intragroup deposits increased by 79% to EUR 105 million. Competition in the deposit market was severe, but the focus was set on collecting more deposits than the market's organic growth, a goal that was fulfilled. The average cost, compared to the market, was lower. With a strong focus on deposits and liquidity, we also collected deposits from European platforms, resulting in a balance of EUR 295 million at the end of the year.

LHV Pank's loan portfolio grew by 11% to EUR 4,683 million during the year. Corporate loans grew by 7% to EUR 2,569 million and retail loans by 17% to EUR 2,114 million. The breakdown of the retail loan portfolio was as follows: home loans 83%, leases 8% and other loans 9%.

LHV Pank's net profit for the decreased 24% to EUR 107.1 million. Total income decreased by 17%, total operating expenses increased by 2%. Net interest income decreased 20% due to lower interest rates on corporate and home loan portfolios, with twice smaller positive effect coming

from repricing of deposits. The increase in net fee and commission income was 4%. It was mainly impacted by the higher customer activity. Credit losses decreased by EUR 15.9 million. The quality of the loan portfolio remained strong, with a very low share of non-performing loans. Results for the year also include EUR 24.0 million deferred tax expense for 2025 payable on the expected future dividend payment. LHV Pank's performance indicators were solid: return on equity (on net profit attributable to shareholders) was 19.0%, the cost/income ratio was 42.7%, and risk cost ratio was 0.03%.

LHV Pank's total assets increased by 11% to EUR 8,776 million in 2025.

Development activities

In 2025, the focus was on customer experience, improving existing services, and enhancing efficiency. Major effort went moving on-premise systems to Amazon cloud, the activities continue in smaller scale in 2026. Another stream was the cross-sale by utilizing different customer bases from all LHV Group Estonian entities and selling them all the products offered by LHV. Digital channels were also opened to all users of various LHV Group services. Customers can use biometric authentication, receiving notifications for outgoing transactions, which also serves as a mechanism for preventing and detecting fraudulent transactions. The mobile app gained new features for investment services. Forward-looking developments for modernising the technological platform were in focus and will continue to be a focus in 2026.

Organisation

LHV Pank is divided into seven functional areas, each with its own departments. Business areas include retail banking, corporate banking, and financial intermediation. Support areas comprise IT, financial management and support services, risk management, and product

management. Human resource management, marketing and communication, and compliance are smaller bank-wide activities.

In 2025, the number of LHV Pank's employees converted to full-time equivalent decreased by 40 from 925 in 2024 to 885, including inactive and part-time staff, and the 18 employees of LHV Finance (2024: 19).

The year brought several awards and accolades. Once again, LHV Pank was named the bank with the best customer service in Estonia in a survey conducted by the market research company Dive. LHV Pank ranked first in the Most Attractive Employers survey conducted by the job portal CVKeskus.ee and TOP Employer in survey conducted by the job portal CV-Online Estonia. LHV Pank also received highest ranking in the employer reputation survey conducted by employer branding agency Instar by being the most attractive employer. LHV Pank's staff satisfaction survey Q12 reflected continuously a very high level of satisfaction. City Plaza building, where LHV Pank's Tallinn office is located, has a BREEAM (Building Research Establish Environmental Assessment Method) certificate.

Sustainability at LHV Pank

At LHV, we acknowledge the vital role of the financial sector in steering economic shifts and directing resources through lending and investments toward activities that promote a transition to a more resilient and sustainable economy. In 2025, LHV continued to progress towards its sustainability goals, focusing on refining metrics, adapting to evolving regulatory frameworks, and risk management processes while continuously engaging with stakeholders. In this annual report there is a separate section of LHV's consolidated sustainability statements meeting the requirements of the Corporate Sustainability Reporting Directive (CSRD), demonstrating our ongoing dedication to transparent and responsible sustainability practices. Initiatives such as

measuring and disclosing the climate impact of our loan portfolio will continue, with an ongoing commitment to enhancing data quality for more accurate reporting. This analytical approach allows us to identify key areas where we can strategically enhance our positive impact, while effectively mitigating both negative impacts and associated financial risk.

Financial results

<i>EUR million</i>	2025	2024	Δ
Net interest income	206.3	257.1	-20%
Net fee and commission income	46.9	45.1	4%
Net fee sharing	-26.0	-28.7	-9%
Net financial income	1.3	0.6	117%
Other income	0.1	2.0	-93%
Total net income	228.6	276.1	-17%
Total operating expenses	97.6	95.4	2%
Impairment losses	0.0	15.8	na
Income tax expense	24.0	24.4	-1%
Net profit	107.1	140.5	-24%

Business volumes

Loans (net)	4,683	4,204	11%
Deposits from customers	6,964	6,294	11%
No of bank customers, thous.	492	456	8%

3.2.2 LHV Bank Ltd

2025 proved to be another highly successful year for the Bank. Retail banking operations were successfully launched and scaled, the SME lending portfolio grew at an exceptional pace, Banking Services business volumes reached record levels, and all key financial targets for the year were achieved.

Business Results

Customer deposits increased by 82% over the year, while the loan portfolio expanded by 125%. Deposits grew by EUR 581 million, reaching EUR 1,286 million by year-end. During the year, the Bank of England reduced the base interest rate four times, by a total of 1.0%, to 3.75%. Despite the lower base rate and reduced funding costs for the Bank, interest rates paid by UK banks remained elevated, making the reduction of the overall cost of funds challenging.

The loan portfolio grew by EUR 434 million, reaching EUR 782 million by year-end. The loan pipeline remained strong, with offers outstanding amounting to EUR 118 million. Overall asset quality remained robust; however, in line with the rapid growth of the loan book, exposures classified as Stage 2 and Stage 3 increased, totalling EUR 21 million at the end of the year.

Total net income increased by 24%, while net expenses grew by 18%. Net profit declined by 5% year-on-year, amounting to EUR 5.5 million, with a return on equity of 5.2%. All financial targets set for the year were met. Deposit, loan and payment volumes significantly exceeded the plan, while return on equity was slightly below target due to additional capital injections made during the year to support faster-than-planned loan book growth. In response to the increasing share of fixed-rate lending, the Bank began using interest rate swaps and implemented hedge accounting.

Retail Banking

In 2025, the Bank publicly launched its retail banking offering, including a mobile banking application and a new website. Through the mobile app, private customers can open current accounts, make GBP payments, set up direct debits, place funds in easy-access and term deposits, and apply for debit cards. The launch was supported by two broader marketing and communications campaigns, conducted in the spring and towards the end of the year.

By year-end, the Bank had over 5,000 direct retail customers and approximately 30,000 savings customers across three deposit platforms. Direct deposits accounted for 12.5% of total deposits.

The Bank continues to actively develop and prepare the launch of new retail products in 2026, including multi-currency accounts, FX services and multi-currency payments. Applications are underway for consumer credit permissions to introduce overdrafts, as well as for Cash ISA approval. In addition, the Bank is in the process of onboarding a fourth deposit aggregator.

SME Lending

In SME Lending, the focus in 2025 was on fully leveraging the broker network and lending team built in the previous year to accelerate loan book growth. The year proved exceptionally successful, with loan book growth more than double that of the prior year.

The Bank maintained an active presence in broker communication channels and participated in several industry seminars and conferences. Brand awareness of LHV among loan brokers increased significantly once again during the year.

Banking Services

By year-end, payment volumes for Banking Services clients reached record levels, with the number of transactions increasing by 17% to 88 million. During the year, the Bank refined its business development strategy, focusing on large Tier 1 clients with strong growth potential and lower risk profiles. As a result, several smaller clients were offboarded.

Deposit volumes within Banking Services followed divergent trends. GBP deposits declined to EUR 93 million due to intensified competition in deposit pricing, while EUR deposits increased to EUR 1,480 million, driven by higher payment volumes.

At the end of the year, the Bank closed its acquiring product, generating cost savings from 2026 onwards. Looking ahead, the Bank is exploring new opportunities to expand the Banking Services product offering, including embedded banking accounts and credit products.

Organisation

The bank achieved Sunday Times Best Places to Work listing for the second year in a row by building a culture rooted in entrepreneurial spirit, innovation, and the courage to challenge the status quo.

Financial results

<i>EUR million</i>	2025	2024	Δ
Net interest income	27.4	14.7	87%
Net fee and commission income	0.6	0.7	-16%
Net fee sharing	26.0	28.7	-9%
Net financial income	1.2	-0.1	na
Other income	0.2	0.7	-66%
Total net income	55.5	44.6	24%
Total operating expenses	46.0	39.1	18%
Impairment losses	1.6	0.5	233%
Income tax expense	2.3	-0.8	na
Net profit	5.5	5.8	-5%

Business volumes

Loans (net)	782	348	125%
Deposits from customers	1,286	705	82%

3.2.3 AS LHV Kindlustus

AS LHV Kindlustus is a non-life insurance company, which was founded in May 2020. The shareholders of LHV Kindlustus are LHV Group (65%) and Toveko Invest OÜ (35%). Toveko Invest OÜ also has ownership in one of the largest household appliances retailers in Estonia operating under Euronics brand. The company received the license for insurance activities from the EFSA on 29 December 2020 and started selling insurance policies as of 1 January 2021.

LHV Kindlustus has launched 14 product solutions since 2021. The main products are motor own damage insurance, motor third-party liability insurance, travel insurance, property insurance, health insurance, payment protection insurance, and extended warranty insurance. The products are sold mainly for private and in smaller volumes to commercial customers.

LHV Kindlustus implements a multi-channel sales strategy by using online, insurance intermediaries, brokers, and direct sales. The focus is to support LHV Pank and Euronics with best insurance solutions.

The year 2025 was a difficult year for the whole insurance market. Prices of vehicle related lines of businesses started to drop at the end of Q1 2025 and continued the same trend till the end of year. Vehicle related products make up around 50% of the whole non-life insurance market in Estonia. Meanwhile other major lines of businesses continued to grow premium levels which helped to mitigate the decline in overall market volumes. Estonian non-life insurance market premium levels surpassed EUR 550 million level in 2025.

As of 31 December 2025, LHV Kindlustus had 302 thousand (+20% YoY) active insurance contracts and 231 thousand customers. The biggest share of active contracts and customers is related to the extended warranty insurance portfolio, followed by LHV Pank credit card travel and purchase insurance and motor third party liability insurance. The year 2025 showed growth of customers in all major business lines, especially home and travel insurance.

The annual gross written premiums were EUR 43,0 million (+12% YoY). The largest product motor own damage formed 27% of the portfolio. Other most significant contributors to the portfolio were health insurance, motor third party insurance and property insurance. Cross-sales and sales within the LHV group different sales channels contributed with 40% of the total amount of the gross written premium.

In 2025, LHV Kindlustus earned EUR 37.8 million (+18% YoY) net premiums (insurance service revenue less reinsurance expenses) and paid out EUR 25.7 (+19% YoY) million as claim indemnities.

Net losses incurred amounted to EUR 24.9 million. The company registered 141 thousand new claims in 2025, out of which 3,444 are still open as of 31 December 2025.

Net profit for 2025 was EUR 2.52 million. Year resulted with strong insurance activity result mainly due to decrease of expense ratio. Additionally, investments income gave a positive impact to company's profit.

Financial results

<i>EUR million</i>	2025	2024	Δ
Insurance result without reinsurance	4.2	1.9	116%
Reinsurance result	-1.7	-0.9	79%
Total result from insurance activities	2.5	1.0	153%
Net other income	0.1	0.2	-71%
Income tax expense	0.0	0.0	na
Net profit	2.5	1.2	111%

Business volumes

Contract premiums written	43.0	38.0	13%
No of customers, thous.	231.0	170.0	36%
No of policies, thous.	302.0	252.0	20%

3.2.4 AS LHV Varahaldus

LHV Varahaldus is a fund management company focusing mostly on active investment strategies. As of the end of 2025, the funds under management include two UCITS funds, five II pillar and two III pillar pension funds. The Investment Management Department is supported by the Risk Control, Operations, and Sales Departments.

LHV Varahaldus has a 100% owned subsidiary VH Incorporation Entity OÜ, which was established in 2021. The purpose of VH Incorporation Entity OÜ is to establish companies for real estate transactions of pension funds.

After straightforward and very positive years for major indices in 2023 and 2024, last year offered much more unpredictability. Emerging and bigger European markets offered stronger returns than the US market and for investors in Eurozone, returns from investing in the US were further impacted by dollar weakening against the Euro by 12%. In EUR denominated terms, MSCI World, S&P500, and Euro Stoxx 50 increased by 6.8%, 2.6%, and 21.2%, respectively. For LHV actively managed funds, significant proportion of total returns was related to investments related to precious metals and especially to gold, which increased in value in EUR denominated terms by 45.1% in 2025.

LHV Varahaldus made significant changes in terms of its product offerings over the last twelve months. In January, Euro Võlakirjade Fond, a UCITS fund concentrating on bond instruments with high credit rating, was launched. Roheline and Roheline III, funds concentrating on green investments, were merged with other LHV funds in September. Two II pillar funds with similar conservative strategies were also merged. Names of remaining actively managed funds were also changed, as previous names were not necessarily illustrative of funds' investment strategies. Despite lower number of funds LHV Varahaldus offers a wide range of investment strategies to its customers within the II pillar pension system, including a passively managed index fund and four actively

managed funds with varying risk classes. In recent years, actively managed funds have focused more on alternative asset classes and non-listed securities, guided by the belief that over a long investment horizon, the average annual expected return will exceed that of publicly traded securities. The size of the funds, as well as changes in regulation, have allowed LHV to invest more in local non-listed assets, such as real estate, and provide financing to Estonian companies through debt securities. LHV's pension funds have been among the biggest and most active institutional investors in Estonia in recent years. Allocation between different asset classes should also provide better diversification and a more favourable risk-return relationship, making the results of the funds less dependent on the returns of the largest stock markets.

In 2025 LHV funds had the best absolute returns among the II and III pillar funds as well as the best returns among index funds and conservative funds in Estonian market. Returns from real estate and direct debt were largely as expected, returns from private equity were mostly lower than anticipated, but returns from major actively chosen equity positions or positions related to precious metals showed strong returns. Dollar risk was hedged with forward contracts and as such the impact from the weakened dollar was minimal. In 2025, three of the largest actively managed II pillar pension funds, Ettevõtlik, Julge and Tasakaalukas, had net returns of 13.3%, 16.6%, and 9.5%, respectively. Conservative fund Rahulik performed well and increased in value by 5.5%. LHV's II pillar fund Indeks, which, compared to other index funds in the Estonian market has a larger allocation to developing economies, gained 11.4%.

Growth of assets under management continued, both in II and III pillar funds, with asset base growing by 7% in II pillar and by 29% in III pillar in 2025. Growth was achieved due to strong fund returns and despite ending the year with 7% less total clients compared to the end of 2024. In March outdoor sales activities, which was the main source of new clients

for more than 15 years, were closed and further emphasis was given to telemarketing and the development of digital channels. There is room to grow to reach client acquisition numbers comparable to previous years. On a positive note, popularity of increased payments to chosen II pillar fund, 4% or 6% instead of previously only available 2% from person's gross salary, continues to grow; number of people deciding to opt out from the II pillar system continues to decrease; a record number of inflows across the market to III pillar funds.

LHV with its five funds in the II pillar pension system is the chosen fund manager for close to 106 thousand people. The company manages the savings for 20.8% of II pillar pension system participants and holds a market share of 22.6% in terms of assets under management. By the end of the year, LHV's three III pillar pension funds had more than 37 thousand customers.

Net profit of LHV Varahaldus was EUR 4.1 million in 2025. Benchmark index growth for 2025 was 6%, which meant that both funds Julge and Ettevõtlik showed stronger returns. While Ettevõtlik is still slightly below the benchmark index, performance of pension fund Julge meant that LHV Varahaldus earned a success fee of EUR 2.1 million.

Financial results

EUR million	2025	2024	Δ
Total net operating income	11.2	8.9	26%
Total operating expenses	7.4	7.1	4%
Operating profit	3.9	1.8	114%
Net financial income	0.8	0.6	39%
Income tax expense	0.6	0.8	-30%
Net profit	4.1	1.6	158%

Business volumes

Assets under management	1,702	1,558	9%
No of pension fund customers, thous.	142	153	-7%

3.2.5 AS LHV Paytech

AS LHV Paytech (former business name EveryPay AS) was established in 2012 and in April 2022, LHV Group acquired 100% of the company. LHV Paytech is developing and operating a cloud-based payment gateway platform for digital payments acceptance in digital environments and is Payment Card Industry Data Security Standard level 1 certified. LHV Paytech’s customers are financial institutions that need the platform as a part of their online payments’ acceptance offering or for their internal needs. LHV Paytech is not providing services to the merchants directly.

LHV Paytech operates primarily in the Baltics, servicing commercial banks and smaller financial institutions.

In 2025, LHV Paytech was dedicated to enriching its offerings by introducing new payment methods and relevant features. This involved extending integration options like Apple Pay and Google Pay native apps SDKs, new e-shop plugins for all the supported platforms, LHV branded payment flows and merchant help centre, Open Banking payments refunding option for SEB and Swedbank merchants, many card payments related mandates and improvements, and general platform strengthening and resilience improvements. Aligned with LHV Group’s strategic vision, our ongoing commitment involves the incorporation of new payment methods, relevant features, and continuous improvements to overall service quality.

Financial results

<i>EUR million</i>	2025	2024	Δ
Total net operating income	4.4	4.2	5%
Total operating expenses	3.9	3.5	11%
Operating profit	0.5	0.7	-29%
Income tax expense	0.0	0.0	na
Net profit	0.5	0.7	-29%